4.0

ANNUAL PERFORMANCE PLAN 2025–26

Annual Performance Plan of Gold Coast Water

Apprentice Academy team members

4.1 Gold Coast Water Performance Plan

4.1.1 Introduction

Gold Coast Water provides customers with water and sewerage services in the Gold Coast region and operates as a Commercial Business Unit (CBU) within the City of Gold Coast (City) in accordance with the *Local Government Regulation 2012* (the Regulation) and Council Resolution number G11.1031.026.

Gold Coast Water conducts business by adhering to the key principles of commercialisation, namely having:

- clarity of objectives
- management autonomy and authority (governance)
- accountability for performance
- competitive neutrality.

4.1.2 Our commitment

- our vision is to ensure best-practice management of the City's natural resources for a sustainable future
- our aim is to align our goals with the United Nations Sustainable Development Framework providing a plan of action for a prosperous, harmonious and healthy society over the long term
- our mission is to protect the health and safety of ourselves, our community and our environment.

4.1.3 Business objectives

- we ensure zero harm – we ensure the health and safety of ourselves, our environment and our community
- we strive for satisfied customers – we provide value for money, innovative, customer focused services
- we manage finances responsibly – we balance lifecycle costs and service prices to sustain our City
- we provide reliable services – we plan, build, operate, maintain and renew assets prudently and efficiently
- we succeed through skilled people – we engage, develop and empower our people to continuously improve our business.

4.1.4 Significant business activity

Nature of activities

In accordance with the *South-East Queensland Water (Distribution and Retail Restructuring) Act 2009,* the primary functions of Gold Coast Water are to:

- purchase and distribute water
- provide water and sewerage services to customers
- charge customers for relevant services
- manage customer enquiries, service requests and complaints
- perform functions relating to trade waste and seepage water as a sewerage service provider
- perform planning and development assessment functions under the *Planning Act 2016*
- anything else likely to complement or enhance a function mentioned above – specifically, analytical laboratory services directly to external customers.

4.1.5 Scope of activities

Service areas

The City's designated water supply and sewerage services cover customer properties within the City's boundary, and includes:

- drinking water supply – developed properties within both the urban areas and the park living domains of the City
- sewerage services – the sewer area covers developed properties within the urban areas and the park living domains of the city and includes trade waste and domestic sewage collection
- recycled water supply – businesses including schools, and some Community Title Schemes and City parks located within proximity of the recycled water pipeline
- non-drinking water – specially plumbed homes and businesses in some areas in the northern suburbs of the City.

Standard service areas for water supply and sewerage services are specified in Appendix A of the Water and Sewerage Connections Policy. Connection to water, sewerage or recycled water supply networks is undertaken in accordance with the Water and Sewer Connections Policy procedure and the Water and Sewerage Customer Service Standards and Charter (Charter).

Water and Sewerage Services

The City provides the following water and sewerage services:

- drinking water distribution
- sewerage collection and treatment
- non-drinking (recycled) water distribution and treatment
- commercial trade waste
- commercial bulk (liquid) waste
- scientific (laboratory) services.

Water and Sewerage Facilities

The City operates and maintains the following water and sewerage facilities:

- 4 sewage treatment plants
- 537 sewerage pump stations
- 3,582 kilometres of drinking and non-drinking water mains
- 57 drinking and non-drinking water pump stations
- 279,107 drinking water connections.

4.1.6 Financial and non-financial performance targets

Financial performance targets are included within the City of Gold Coast Annual Plan, City Budget Chapter. Appendix 1 outlines the Key Performance Indicators (KPI's) and targets which Gold Coast Water will monitor during the 2025-26 financial year.

Each KPI is reviewed monthly and reported to Council annually. All indicators are reported annually in the City of Gold Coast Annual Report.

4.1.7 Community Service Obligations

Section 24 of the Regulation defines a Community Service Obligation (CSO) as "an obligation the local Government imposes on a business entity to do something that is not in the commercial interests of the business entity to do".

A CSO is treated as an expense for the activity of an amount equivalent to the cost of carrying out the obligation less any revenue arising from carrying out the activity.

Gold Coast Water has one endorsed CSO for the 2025-26 financial year as outlined below.

Table 1: Community Service Obligations

Activity	CSO description	Amount
Water and Sewerage Rates Donation*	Concessions/discounts to non-profit entities for water and sewerage services provided in accordance with the City's Rate Donation, Infrastructure Charges and Development Application Fee Discount Policy.	$3,334,223

**Funded by Gold Coast Water*

4.1.8 Water and Sewerage Services Capital Structure and Community Returns Policy

Gold Coast Water has been declared a monopoly business activity under the *Queensland Competition Authority Regulation 2007* and is subject to periodic oversight by the Queensland Competition Authority (QCA), at the direction of the relevant Minister.

As a CBU, Gold Coast Water is guided by the City's Water and Sewerage Services Capital Structure and Community Returns Policy.

The objectives of this policy are to:

- enable 'ring fenced' accountability for financial management of the business in line with regulatory requirements
- set the financial parameters, including the capital structure and cost of capital within which Gold Coast Water operates as a commercial business
- provide an appropriate rate of return to the community for investments
- assist in providing long term financial sustainability to Gold Coast Water and Council by specifying the framework for returns to the community.

All retained surpluses and special dividend payments are also in accordance with this policy.

To satisfy requirements under the National Competition Policy, Gold Coast Water provides additional payments to Council in the form of tax equivalents and interest margin, to address any concerns of competitive neutrality.

4.1.9 Proposed major investments

Gold Coast Water has procurement authority that operates under the Strategic Contracting Procedures of the Regulation, Chapter 6 Part 2.

For further detail on principles regarding procurement activities, see the Procurement Policy and Contract Manual. A full list of water and sewerage strategic contracting activities can be found in the City of Gold Coast Annual Contracting Plan on the City of Gold Coast website.

The following table summarises major investments proposed for 2025-26.

Table 2: Proposed major investments

Project description	2025-26 Base estimate expenses
Pimpama Sewage Treatment Plant Stage 2 Upgrade (71390) Construction of the Pimpama Sewer Treatment Plant Stage 2 Works to accommodate for an additional 71,300 equivalent person (EP) growth in the Pimpama Catchment and diverted Stapylton Catchment area.	$65,000,000
Stapylton Sewerage Network Upgrade (71541) Construction of infrastructure identified in the Stapylton Sewerage Catchment Servicing Strategy to direct sewerage north, including major refurbishment of Sewage Pump Station BE35 and associated rising mains.	$30,000,000
Elanora Sewage Treatment Plant Upgrade Works (71495) Circa 25,000 EP capacity increase is required to enable Elanora Sewer Treatment Plant to treat catchment population increases to the next 20-year planning cycle and to enable the existing bioreactors to be taken offline for refurbishment, which is required due to the condition and age of the structures. A primary and secondary treatment plant bypass is required in line with the current Department of Environment, Tourism, Science and Innovation (DETSI) license to enable the plant to best manage wet weather flows received.	$24,000,000
Coomera Connector Project Transport Main Roads are building the Coomera Connector Stage 1 From Coomera to Nerang. Accordingly, within this footprint of construction there are numerous water and sewer assets that require an established team to manage the interface between the Coomera Connector and the City's water and sewer infrastructure.	$20,000,000

4.1.10 Outstanding and proposed borrowings

The projected debt structure for 2025-26 is provided below:

Table 3: Projected Debt structure

Loan type	Opening balance 1 July 2025	Principal repayment	Estimated New Borrowings	Closing balance 30 June 2026
Water and Sewerage Community Loans (Internal)	$1,480,398,853	Nil	$0	$1,480,398,853
Water and Sewerage Loans (External)	$15,057,395	$7,291,137	$42,981,000	$50,747,258

The external loan program planned for 2025-26 financial year is to be adopted as part of Council's formal budget process. The City will manage the borrowing arrangements through Queensland Treasury Corporation (QTC) as well as budgets for interest and redemption at an individual account level for Gold Coast Water.

4.1.11 Customer Service Standards and Charter

Council's Water and Sewerage Customer Service Standards and Charter (Charter) informs customers of the service they can expect to receive from Gold Coast Water and the obligations of customers in relation to their use of the water and sewerage systems.

Key commitments within the Charter for Gold Coast Water include:

- provide water and sewerage services on a continual basis unless an interruption is required for emergency repairs or planned maintenance of the system
- supply quality drinking water free from harmful organisms, colour, taste or odour in accordance with the National Health and Medical Research Council (NHMRC) Australian Drinking Water Guidelines (2011)
- minimise overflows from the sewage collection system and lagoons and ensure affected areas are cleaned up and disinfected as soon as possible
- acknowledge a complaint within ten business days.

Customer Service standards are measured via a range of key performance indicators outlined in Appendix 1. For further information, please refer to the Water and Sewerage Customer Service Standards and Charter.

4.1.12 Delegated authorities

Water and Sewerage Service's delegated authorities are in accordance with sections 257 and 259 of the *Local Government Act 2009* and the *South-East Queensland Water (Distribution and Retail Restructuring) Act 2009*.

Delegated authorities are set out in Council's Register of Delegations and support the CBU to exercise autonomy in its commercial activities. The Register of Delegations may be inspected by the public by contacting the City.

4.1.13 Reporting Framework

Water and Sewerage Service performance is reported via a number of mechanisms as outlined in the following reporting framework.

Figure 1: Gold Coast Water reporting framework

State and Federal legislation	External reporting
Environmental Protection Act 1994 and *Environmental Protection Regulation 2019 (Qld)* *Local Government Act 2009* and *Regulation 2012 (Qld)* *South-East Queensland (Distribution and Retail Restructuring) Act 2009* and *Regulation 2010 (Qld)* *Water Act 2000* and *Regulation 2016 (Cth)* *Water Supply (Safety and Reliability) Act 2008* and *Regulation 2021 (Qld)* *Petroleum and Gas (Production and Safety) Act 2004* and *Regulation 2018 (Qld)* *Energy and Water Ombudsman Act 2006* and *Regulation 2007 (Qld)* *Electrical Safety Act 2002* and *Regulation 2013 (Qld)* *Plumbing and Drainage Act 2018* and *Regulation 2019 (Qld)* *Public Health Act 2005* and *Regulation 2018 (Qld)*	• Annual drinking water quality report • Australian Bureau of Statistics • Water performance reports • Environmental annual report and license returns (ERA) • National performance report for urban water utilities • Petroleum and gas safety report • National water account • Queensland urban potable water and sewerage benchmarking report • Recycled water quality reports
City policies, plans and frameworks	**City performance reporting**
• City Budget • City Operational Plan • City Plan • City Policies • City Strategies • Customer Service Charter and Standards • Council Plan 2022-2027 (Corporate Plan) • Long term financial forecast • Management plans • Total asset management plans • Annual Contracting Plan	• Annual Report • Water and Waste business (KPI) scorecards • Financial performance reports • Water, Waste and Energy Committee reports • City Operational Plan Progress Report • Water Supplied Report

Appendix 1: Key Performance Indicators

Table 4: Business performance indicators

Business performance indicators	Target
We ensure zero harm	
Water quality complaints (number per 1000 properties)	<3
Compliance with water quality guidelines (%)	100%
Number of reportable environmental incidents to the regulator (count)	<10
Total net greenhouse gas emissions (tonnes of CO2 equivalent per 1000 properties)	<250
We strive for satisfied customers	
Total water and sewerage complaints to include water quality, water service and sewerage service (number per 1000 properties)	<5
Percentage of priority one response time is achieved for water incidents (% of priority one jobs responded to within two hours)	100%
Percentage of priority one response time is achieved for sewerage incidents (% of priority one jobs responded to within two hours)	100%
Customer satisfaction (%)	>87%
We deliver reliable services	
Percentage of water recycled (%)	>12%
Total sewerage main breaks and chokes (number per 100km of main)	8
Total water main breaks (number per 100km of main)	12
Average duration of unplanned interruption – water (minutes)	<120 mins
Incidence of unplanned interruptions – water (number per 1000 properties)	<80
We manage finances responsibly	
EBIT interest cover (times)	1.5 - 3.0
Operating surplus ratio (%)	0% to 10%
Return on assets (%)	4.5%